Recordkeeping Tips and Tricks

Business Academy Group Learning · Recordkeeping

The best recordkeeping system is the one you will actually use every week. Start with “one folder, one account, one time” and build from there.

Set up the system

- **Separate business and personal money.** Open a business checking account and use one card only for the program. This one step makes everything else easier.
- **One place for everything.** Pick one home for receipts: an accordion folder with a pocket per month, or a phone app. Not both.
- **Use the Budgeting Tool's categories.** Label folders, bank categories, or app tags with the same expense lines as the Budgeting Tool, so monthly updates are a straight copy.
- **Go digital where you can.** Free or low-cost options include a phone scanner app, a cloud folder per month, or bookkeeping software such as QuickBooks or Wave. Ask about tools on the VSSN platform too.

Capture as you go

- **Snap it before you leave the store.** Take a photo of every receipt in the parking lot. Thermal receipts fade within months.
- **Write the why on the receipt.** A quick note like “art supplies, preschool room” saves guessing later.
- **Ask for email receipts.** Set up a separate email folder or address just for business receipts.
- **Record cash right away.** Give a receipt for every cash tuition payment and keep a copy.
- **Mixed shopping trips:** Ring up program items separately, or circle them on the receipt.

Keep the routine

- **Block 30 minutes a week.** Same day and time, like Friday nap time. Match receipts to the bank account, file, and enter totals.
- **Close out each month.** By the 5th, total income and expenses by category and update the Budgeting Tool before coaching.
- **Reconcile monthly.** Make sure your records match the bank statement. Small gaps found early stay small.
- **Back it up.** Keep a copy in a second place, such as cloud storage, in case of fire, flood, or a lost phone.

For home-based providers

- **Track time-space.** Log the hours the home is used for child care, including prep, cleaning, and paperwork, not just hours children are present. This sets how much of rent, utilities, and other home costs can be deducted.
- **Keep a mileage log.** Record date, purpose, and miles for every business trip, like grocery runs for the program or trainings.
- **Save household bills.** Keep the full utility, rent or mortgage, and insurance bills; a tax preparer will apply the business share.
- **Food records matter.** Keep CACFP records and food receipts together; food is often the largest expense for home providers.

For center-based providers

- **Assign one owner per record type.** For example, the director handles tuition, and an assistant handles attendance.
- **Use written procedures.** A one-page “how we handle receipts” sheet keeps records consistent when staff change.
- **Separate duties for cash.** The person who collects tuition should not be the only person who records it.

Questions? Contact your Business Specialist: [name, email, phone]